READORA OPEN ACADEMIC TEXTBOOK SERIES

Strategic Business Management

Corporate Strategy, Financial Leadership & Organizational Dynamics

Authored By: Prof. David Clark, MBA Faculty
Academic Department: Master of Business Admin (MBA)
Edition: Open Educational Standard Edition (2026)
Catalog ISBN: 9781260261288

Target Course	Master of Business Admin (MBA) University Curriculum
Publication License	Creative Commons Open Educational Resource (CC BY-NC 4.0)
Library System	Readora Digital Repository - Verified Curriculum Reference

Preface & Curriculum Overview

This textbook has been compiled for undergraduate and postgraduate students enrolled in the **Master of Business Admin (MBA)** program. It provides structured, rigorous theoretical models, practical case demonstrations, analytical formulas, and chapter-end review exercises. Students are encouraged to practice the core derivations and apply algorithmic workflows to real-world engineering challenges.

Table of Contents

Chapter 1	Strategic Formulation and Industry Analysis	Page 3
Chapter 2	Financial Decision-Making and Capital Budgeting	Page 5
Chapter 3	Organizational Leadership and Change Management	Page 7

Chapter 1: Strategic Formulation and Industry Analysis

1.1 Porter Five Competitive Forces Model

Long-term industry profitability is determined by five structural forces: threat of new entrants, bargaining power of buyers, bargaining power of suppliers, threat of substitutes, and competitive rivalry.

> ***Key Concept:*** *Sustainable competitive advantage arises from cost leadership or differentiated value propositions.*

Review Questions & Laboratory Exercises

- Conduct a SWOT and PESTEL analysis for a technology enterprise entering emerging markets.
- Explain the Resource-Based View (RBV) and VRIO framework.

Chapter 2: Financial Decision-Making and Capital Budgeting

2.1 Net Present Value (NPV) & Internal Rate of Return (IRR)

Capital allocation evaluates future cash inflows discounted at the weighted average cost of capital (WACC) to ensure shareholder value creation.

> ***Key Concept:*** *Projects with positive Net Present Value (NPV > 0) expand organizational enterprise value.*

Review Questions & Laboratory Exercises

- Calculate the Weighted Average Cost of Capital (WACC) given equity beta, debt ratios, and tax rate.
- Contrast payback period with discounted cash flow metrics.

Chapter 3: Organizational Leadership and Change Management

3.1 Kotter Eight-Step Change Management Process

Transformational organizational shifts require creating urgency, guiding coalitions, formulating vision, empowering action, and institutionalizing cultural adaptation.

> ***Key Concept:*** *Agile organizational governance balances operational efficiency with dynamic strategic renewal.*

Review Questions & Laboratory Exercises

- Evaluate transactional vs transformational leadership paradigms in technology firms.
- Outline key risk mitigation strategies in cross-border corporate mergers.